

Direct Tax law and compliance

1. The Income Tax Act was passed in the year:

- A) 1934
- B) 1956
- C) 1961
- D) 1972

Answer: C) 1961

2. Income tax is a:

- A) Professional tax
- B) Direct tax
- C) Indirect tax
- D) Service tax

Answer: B) Direct tax

3. The highest administrative authority for Income Tax in India is:

- A) Finance Minister
- B) Central Board of Direct Taxes (CBDT)
- C) President of India
- D) Director of Income Tax

Answer: B) Central Board of Direct Taxes (CBDT)

4. There are how many heads of income under the Income Tax Act, 1961?

- A) 3
- B) 4
- C) 5
- D) 6

Answer: C) 5

5. A person by whom any tax or any other sum of money is payable under the Income Tax Act, 1961 is called:

- A) A citizen

- B) A payee
- C) An assessee
- D) A transactee

Answer: C) An assessee

6. Income tax rates are fixed in the:

- A) Income Tax Act
- B) Finance Act
- C) Income Tax Rules
- D) Finance Rules

Answer: B) Finance Act

7. In which of the following cases is income of the previous year assessable in the previous year itself?

- A) A person who is into an illegal business
- B) A person who is running a charitable institution
- C) Assessment of persons leaving India
- D) A person in employment in India

Answer: C) Assessment of persons leaving India

8. The standard deduction from annual value of a house property let out is allowed as:

- A) 15% of Annual Value (AV)
- B) 30% of AV
- C) 50% of AV
- D) 70% of AV

Answer: B) 30% of AV

9. The number of digits in a Permanent Account Number (PAN) are:

- A) 8
- B) 9
- C) 10
- D) 12

Answer: C) 10

10. Agricultural income in India is:

- A) Fully taxable
- B) Partly taxable
- C) Exempt from tax under certain conditions
- D) None of the above

Answer: C) Exempt from tax under certain conditions

11. Salary paid by an Indian company to its employees working in one of its branches outside India is:

- a. Salary deemed to accrue in India
- b. Salary accruing outside India
- c. Salary accruing in India
- d. None of the above

Correct Option: C

12. Income from subletting of house property is taxable under the head :

- a. Capital Gain
- b. Income from Other Sources
- c. Income from House Property
- d. Profits & Gains of Business or Profession

Correct Option: B

13. Mohan Received a gift of Rs.35,000/- each from his 3 friends on 30th March 2019:.

- a. 105,000 is taxable
- b. 50000 is taxable
- c. Not taxable
- d. Rs. 55000 is taxable

Correct Option: A

14. The benefit of exemption under Section 54F is available when following capital asset transferred

- a. Short term capital asset other than residential house property
- b. Short term residential house property
- c. Long term residential house property:
- d. Any long term capital asset other than residential house property

Correct Option: D

15. Income of minor is clubbed however the clubbing provision is not applicable if:

- a. Parents are separated
- b. Minor is a married daughter
- c. Minor is handicapped as specified u/s 80U
- d. None of the above

Correct Option: C

16. In case of revocable transfer of asset, all income arising from such asset to transferee shall be included

- a. income of transferee
- b. income of transferor
- c. Both transferor and transferee
- d. Either transferor or transferee

Correct Option: B

17. When parent's income is clubbed with minor child income, parent is eligible for exemption

- a. Actual income of minor or Rs. 10,000 whichever

- b. Actual income of minor or Rs. 1,500 whichever is less
- c. Actual income of minor or Rs. 20,000 whichever is less
- d. Actual income of minor or Rs. 5,000 is less whichever is less

Correct Option: B

18. Unabsorbed depreciation can be carried forward for set off:

- a. For an unlimited number of years
- b. For a period of four years only
- c. For a period of eighteen years only
- d. For a period of eight years only

Correct Option: A

19. Which of the following loss can't be carry forward if assessed has not filed his return of income within time under section 139(1) of the Income-tax Act?

- a. Losses under Head Capital gain
- b. Losses of owning & maintaining race horses
- c. Losses under Head Business/Profession
- d. All of the above

Correct Option: A

20. If Mr. A & Mrs. A both have substantial interest in a concern and both are in receipt of remuneration from that concern, then what will be the tax consequences?

- a. Remuneration shall be clubbed in the total income of Mrs. A
- b. Remuneration shall be clubbed in the total of that individual whose total income (before this clubbing) is higher
- c. Clubbing shall not apply
- d. Remuneration shall be clubbed in the total income of Mr. A

Correct Option: B

Indirect Tax law and compliance

GST

1 . IGST is payable when the supply is

- a) Interstate
- b) Intra- UT
- c) Intra-state
- d) All of the above

Ans: (a)

2 . Maximum rate of CGST prescribed by law for intrastate supply made is.....

- a) 18%
- b) 40%
- c) 20%
- d) 28%+cess

Ans: (c) 20%

3 . Which of the following taxes have been subsumed in GST?

- a) Central sales tax
- b) Central excise duty
- c) VAT
- d) All of the above

Ans: (d)

4 . GST is levied on supply of all goods and service except.....

- a) Alcoholic liquor for human consumption
- b) Tobacco
- c) Health care service
- d) All of the above

Ans: (a)

5 . Aggregate turnover does not include-

- (a) Inward supplies on which tax is payable on reverse charge basis
- (b) Exempt supplies
- (c) Export of goods or services or both
- (d) Inter-State supplies of persons having the same PAN number

Ans: (a)

6 . Which of the following is/are included in definition of “Goods” as defined under section 2(52) of the CGST Act, 2017-

- I. Money
- II. Actionable claim
- III. Security
- IV. Growing crops

Select the correct answer from the options given below

- a. IV only
- b. II & III
- c. II & IV
- d. I & II

Ans: (c)

7 . A supply comprising of two or more supplies shall be treated as the supply of that particular supply that attracts highest rate of tax.

- a) Composite
- b) Mixed
- c) Both (a) and (b)
- d) None of the above

Ans: (b)

8 . What are the taxes levied on an intra-State supply?

- (a) CGST
- (b) SGST
- (c) CGST and SGST
- (d) IGST

Ans: (c)

9 . Who will notify the rate of tax to be levied under CGST Act?

- (a) Central Government
- (b) State Government
- (c) GST Council
- (d) Central Government as per the recommendations of the GST Council

Ans: (d)

10 . Which of the following taxes will be levied on imports?

- (a) CGST
- (b) SGST
- (c) IGST
- (d) CGST and SGST

Ans: (c)

11 . What is time of supply of goods, in case of forward charge?

- (a) Date of issue of invoice
- (b) Due date of issue of invoice
- (c) Date of receipt of consideration by the supplier
- (d) Earlier of (a) & (b)

Ans: (d)

12 . What is the time of supply of vouchers when the supply with respect to the voucher is identifiable?

- (a) Date of issue of voucher
- (b) Date of redemption of voucher
- (c) Earlier of (a) & (b)
- (d) (a) & (b) whichever is later

Ans: (a)

13 . What is the time of supply of vouchers when the supply with respect to the voucher is not identifiable?

- (a) Date of issue of voucher
- (b) Date of redemption of voucher
- (c) Earlier of (a) & (b)
- (d) (a) & (b) whichever is later

Ans: (b)

14 . What is the time of supply of service if the invoice is issued within 30 days from the date of provision of service?

- a) Date of issue of invoice
- b) Date on which the supplier receives payment
- c) Date of provision of service

d) Earlier of (a) & (b)

Ans: (d)

15 . What is the time of supply of service where services are received from an associated enterprise located outside India?

a) Date of entry of services in the books of account of recipient of service

b) Date of payment

c) Earlier of (a) & (b)

d) Date of entry of services in the books of the supplier of service

Ans: (c)

Customs

16. Customs Act, 1962 extends to

(A) Whole of India excluding Jammu & Kashmir

(B) Whole of India

(C) Whole of India excluding Jammu & Kashmir and Union Territories

(D) Whole of India excluding Jammu & Kashmir and Special Economic Zones

Answer:

(B) Whole of India

17. As per Section 2(1) of the Customs Act, 1962,____means any authority competent to pass any order or decision under this Act, but does not include the Board, Commissioner (Appeals), or Appellate Tribunal.

(A) Adjudicating Authority

(B) Proper Authority

(C) Proper Officer

(D) Custom Authority

Answer:

(A) Adjudicating Authority

18. As per Section 2(2) of the Customs Act, 1962, "assessment" includes

- (I) Provisional assessment
- (II) Self-assessment
- (III) Reassessment
- (IV) Any assessment in which the duty assessed is NIL.

Select the correct answer from the options given below:

- (A) (I) & (II)
- (B) (I), (II) & (IV)
- (C) (I), (II) & (III)
- (D) All (I) to (IV)

Answer:

- (D) All (I) to (IV)

19. The Customs Act, 1962, not only regulates the levy and collection of duties but also, serves equally important purposes like

- (a) Regulation of imports & exports.
- (b) Protection of domestic industry
- (c) Prevention of smuggling
- (d) Conservation & augmentation of foreign exchange

Select the correct answer from the options given below:

- (A) All (a) to (d)
- (B) All except (a)
- (C) All except (b)
- (D) All except (c)

Answer:

- (A) All (a) to (d)

20. It is Section 12 of the Customs Act, 1962 that provides duties of customs to be levied at such rates as may be specified under the____or other applicable Acts on goods imported into or exported from India.

- (A) Customs Tariff Act, 1962
- (B) Customs Tariff Act, 1975

(C) Customs Rates & Tariff Act, 1975

(D) Customs Rate Act, 1962

Answer:

(B) Customs Tariff Act, 1975

Applied Financial Accounting and Ethics

1. The accounting principle that states a business and its owner(s) are separate and distinct entities is the:

A) Going Concern Concept

B) Monetary Unit Assumption

C) Business Entity Concept

D) Matching Principle

Answer: C

2. As per the revenue recognition principle (e.g., IFRS 15/GAAP), sales revenue should generally be recognized at the time when:

A) The customer places the order

B) Cash is received from the customer

C) The ownership of goods or services is transferred from the seller to the buyer

D) The final payment collection is assured

Answer: C

3. How is the purchase of property, plant, and equipment reflected on the statement of cash flows?

A) As a source of cash in financing activities

B) As a use of cash in operating activities

C) As a use of cash in investing activities

D) Not reflected

Answer: C

4. What is the main purpose of depreciation in accounting?

A) To find an asset's market value

- B) To save for asset replacement
- C) To spread an asset's cost over its useful life
- D) To show an asset's market value drop

Answer: C

5. Under accrual accounting, when are expenses recognized?

- A) When cash is paid
- B) When incurred
- C) Only yearly
- D) For large amounts only

Answer: B

6. Which is a representative personal account?

- A) Cash Account
- B) Land and Building Account
- C) Outstanding Salary Account
- D) Interest Earned Account

Answer: C

7. Which principle requires an accountant to be honest in all professional relationships?

- A) Objectivity
- B) Professional Competence and Due Care
- C) Integrity
- D) Confidentiality

Answer: C

8. If a manager asks an accountant to manipulate figures, which ethical principles are threatened?

- A) Confidentiality
- B) Objectivity
- C) Professional Behavior
- D) All of the above

Answer: D (This action affects integrity, objectivity, and professional behavior)

9. The duty to maintain professional knowledge and skill is known as:

- A) Objectivity
- B) Confidentiality
- C) Professional Competence and Due Care
- D) Professional Behavior

Answer: C

10. What does confidentiality mean in accounting ethics?

- A) Releasing sensitive public data
- B) Keeping financial information private and not sharing with unauthorized parties
- C) Sharing financial data with competitors
- D) Ignoring privacy laws for company benefit

Answer: B

11. What is a primary benefit of ethical behavior in accounting?

- A) More opportunities for creative accounting
- B) Improved reputation and public trust
- C) Less legal review
- D) Higher short-term profits

Answer: B

12. A "self-interest threat" occurs when:

- A) Pressure prevents professional action
- B) An accountant promotes a client's view too much
- C) An accountant doesn't review their past decisions well
- D) A financial or other interest could improperly affect judgment or behavior

Answer: D

13. Investment can be defined as

- A) Person's dedication to purchasing a house or flat
- B) Use of capital on assets to receive returns
- C) Usage of money on a production process of products and services

D) Net additions made to the nation's capital stocks

Answer: B

14. The concept of Financial management is

A) Profit maximization

B) All features of obtaining and using financial resources for company operations

C) Organization of funds

D) Effective Management of every company

Answer: B

15. What is the primary goal of financial management?

A) To minimise the risk

B) To maximise the owner's wealth

C) To maximise the return

D) To raise profit

Answer: B

16. GST is a consumption of goods and service tax based on.

A) Development

B) Dividend

C) Duration

D) Destination

Answer: D

17. The finance manager is accountable for.

A) Earning capital assets of the company

B) Effective management of a fund

C) Arrangement of financial resources

D) Proper utilisation of funds

Answer: C

18. The market value of the shares is decided by

A) The investment market

B) The government

C) Shareholders

D) The respective companies

Answer: A

19. The capital budget is associated with.

A) Long terms and short terms assets

B) Fixed assets

C) Long terms assets

D) Short term assets

Answer: C

20. CAPM stands for.

A) Capital asset pricing model.

B) Capital amount printing model.

C) Capital amount pricing model.

D) Capital asset printing model.

Answer: A

Business Regulatory laws and compliances

Contract Law

1: An agreement enforceable by law is a:

- (a) Promise
- (b) Contract
- (c) Offer
- (d) Consideration

Answer: (b) Contract

2: The Sale of Goods Act was enacted in which year?

- (a) 1903
- (b) 1923
- (c) 1930
- (d) 1932

Answer: (c) 1930

3: When a contract becomes void, any person who has received any advantage under it is:

- (a) Not bound to do anything.
- (b) Bound to restore it.
- (c) Bound to make compensation for it.
- (d) All of the above.

Answer: (d) All of the above

Company Law

4: A public company can start its business after:

- (a) Incorporation

- (b) Issuing a prospectus
- (c) Obtaining a certificate for the commencement of business
- (d) Filing the Memorandum of Association

Answer: (c) Obtaining a certificate for the commencement of business

5: Which of the following is NOT a necessary element for a valid contract?

- (a) Free consent
- (b) Consideration
- (c) Registration
- (d) Competent parties

Answer: (c) Registration

Consumer Protection & Other Laws

6: According to the Right to Information (RTI) Act, which information is exempt from disclosure?

- (a) Information that would breach the privilege of Parliament or a State Legislature.
- (b) Information received in confidence from a foreign government.
- (c) Information that relates to personal information with no public activity or interest.
- (d) All of the above.

Answer: (d) All of the above

7: The FERA (Foreign Exchange Regulation Act) was a restrictive law, while the FEMA (Foreign Exchange Management Act) is more liberal and:

- (a) Treats violations as civil offenses.
- (b) Treats violations as criminal offenses.
- (c) Promotes foreign trade.
- (d) Both (a) and (c).

Answer: (d) Both (a) and (c)

8: A specific offer can be accepted by:

- (a) Any person
- (b) The person to whom it is made
- (c) Any friend of the offeror
- (d) Any friend of the offeree

Answer: (b) The person to whom it is made

9. How many members should sign the MOA in case of public company _____.

- A. 1
- B. 3
- C. 5
- D. 7

Answer» D. 7

10. How many members should sign the MOA in case of private company _____

- A. 1
- B. 2
- C. 3

10. How many members should sign the MOA in case of private company _____

D. 4

Answer» B. 2

11. In case of appointment of Directors _____ form is to be filed

A. 29

B. 32

C. 18

D. 1

Answer» A. 29

12. _____ is the conclusive evidence in case of company that statutory requirements have complied with

A. certificate of incorporation

B. certificate of commencement of business

C. both

D. none of the above

Answer» A. certificate of incorporation

13. Private company can start its business immediately after the issue of

A. certificate of commencement of business

13. Private company can start its business immediately after the issue of

B. certificate of incorporation

C. both

D. none of the above

Answer» B. certificate of incorporation

Chapter: Memorandum and Articles of Association

14. The doctrine of indoor management is an _____ to the doctrine of constructive notice

A. Exception

B. Extension

C. Alternative

D. None of the above

Answer» B. Extension

15. The doctrine of _____ does not apply to acts void ab initio.

A. Ultra virus

B. Intra virus

C. constructive notice

D. Indoor management

Answer» D. Indoor management

16. A company can change its name at its own discretion by passing

A. Ordinary resolution

B. Special resolution

C. Boards resolution

D. None of the above

Answer» B. Special resolution

17. Any change in the address of the registered office must be communicated to the registrar within:

A. 15 days

B. 30 days

C. 1 Month

D. 12 months

Answer» C. 1 Month

18. An act ultra virus the directors can be rectified if it is not ultra vires

A. the articles

B. the memorandum

C. Company Act

D. None of the above

Answer» C. Company Act

19. The lending of funds ultra vires, the company has no rights

A. under the company's Act

B. contract Act

C. under equity

D. None of the above

Answer» A. under the company's Act

20. If a new company get registered with a name which resembles the name of existing company, then it should apply to whom?

A. NCLT

B. SEBI

C. ROC

D. None of the above

Answer» A. NCLT